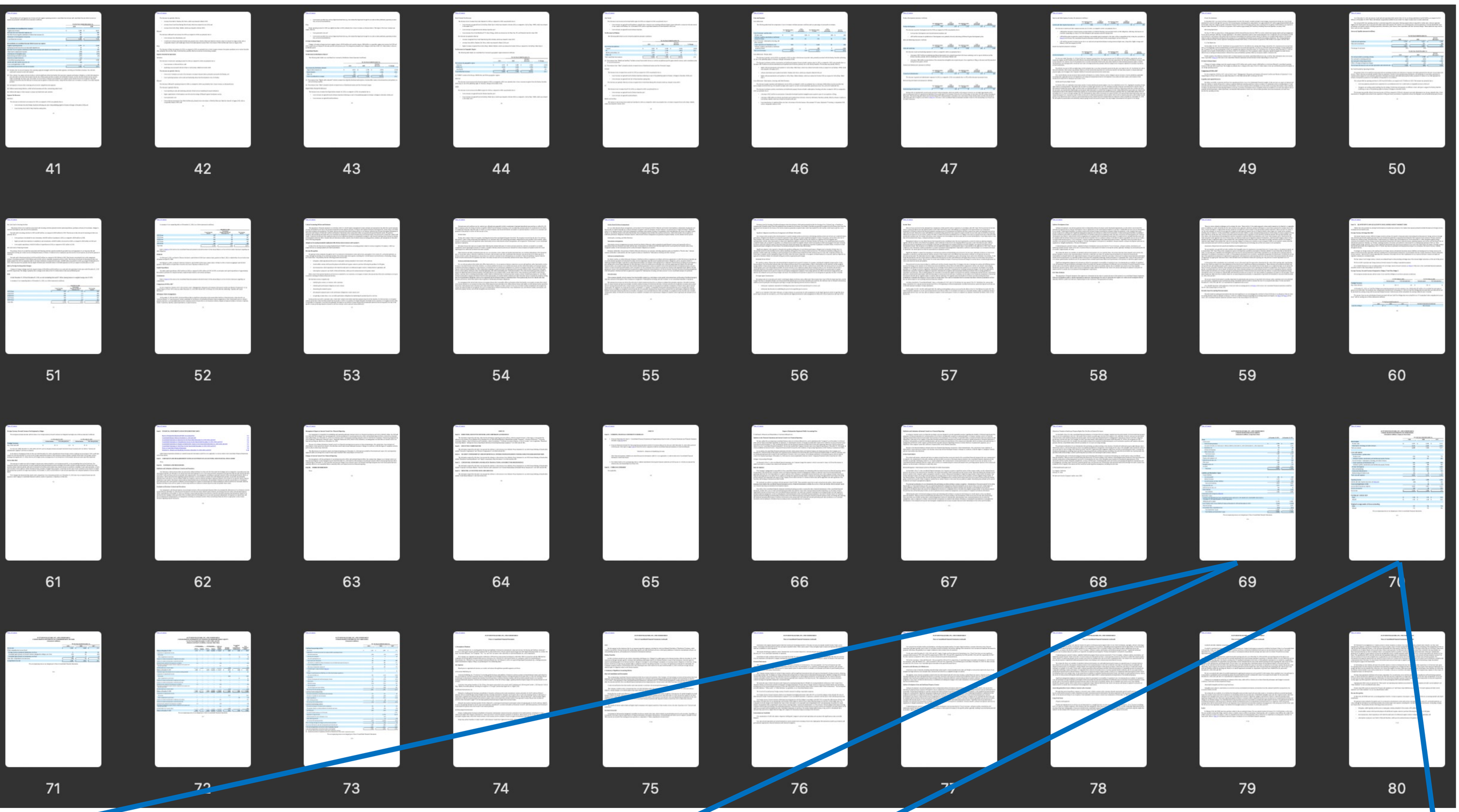

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ACTIVISION BLIZZARD, INC. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(Amounts in millions, except share data)

	At December 31, 2019	At December 31, 2018
Assets		
Current assets:		
Cash and cash equivalents	$ 5,794	$ 4,225
Accounts receivable, net of allowances of $132 and $190, at December 31, 2019 and December 31, 2018, respectively	848	1,035
Inventories, net	32	43
Software development	322	264
Other current assets	296	539
Total current assets	7,292	6,106
Software development	54	65
Property and equipment, net	253	282
Deferred income taxes, net	1,293	458
Other assets	658	482
Intangible assets, net	531	735
Goodwill	9,764	9,762
Total assets	$ 19,845	$ 17,890
Liabilities and Shareholders' Equity		
Current liabilities:		
Accounts payable	$ 292	$ 253
Deferred revenues	1,375	1,493
Accrued expenses and other liabilities	1,248	896
Total current liabilities	2,915	2,642
Long-term debt, net	2,675	2,671
Deferred income taxes, net	505	18
Other liabilities	945	1,167
Total liabilities	7,040	6,498
Commitments and contingencies (Note 23)		
Shareholders' equity:		
Common stock, $0.000001 par value, 2,400,000,000 shares authorized, 1,197,436,644 and 1,192,093,991 shares issued at December 31, 2019 and December 31, 2018, respectively	—	—
Additional paid-in capital	11,174	10,963
Less: Treasury stock, at cost, 428,676,471 shares at December 31, 2019 and December 31, 2018	(5,563)	(5,563)
Retained earnings	7,813	6,593
Accumulated other comprehensive loss	(619)	(601)
Total shareholders' equity	12,805	11,392
Total liabilities and shareholders' equity	$ 19,845	$ 17,890

The accompanying notes are an integral part of these Consolidated Financial Statements.

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ACTIVISION BLIZZARD, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF OPERATIONS
(Amounts in millions, except per share data)

	For the Years Ended December 31,		
	2019	2018	2017
Net revenues			
Product sales	$ 1,975	$ 2,255	$ 2,110
Subscription, licensing, and other revenues	4,514	5,245	4,907
Total net revenues	6,489	7,500	7,017
Costs and expenses			
Cost of revenues—product sales:			
Product costs	656	719	733
Software royalties, amortization, and intellectual property licenses	240	371	300
Cost of revenues—subscription, licensing, and other revenues:			
Game operations and distribution costs	965	1,028	984
Software royalties, amortization, and intellectual property licenses	233	399	484
Product development	998	1,101	1,069
Sales and marketing	926	1,062	1,378
General and administrative	732	822	745
Restructuring and related costs	132	10	15
Total costs and expenses	4,882	5,512	5,708
Operating income	1,607	1,988	1,309
Interest and other expense (income), net (Note 18)	(26)	71	146
Loss on extinguishment of debt	—	40	12
Income before income tax expense	1,633	1,877	1,151
Income tax expense	130	29	878
Net income	$ 1,503	$ 1,848	$ 273
Earnings per common share			
Basic	$ 1.96	$ 2.43	$ 0.36
Diluted	$ 1.95	$ 2.40	$ 0.36
Weighted-average number of shares outstanding			
Basic	767	762	754
Diluted	771	771	766

The accompanying notes are an integral part of these Consolidated Financial Statements.

Question: What is the FY2019 fixed asset turnover ratio for Activision Blizzard?
Response: The fixed asset turnover ratio is calculated by dividing net sales by net fixed assets. The formula is: Fixed Asset Turnover Ratio = Net Sales / Net Fixed Assets

From the provided document, we can find the necessary values for the fiscal year 2019:
- Net Sales (Net Revenues) for 2019: $6,489 million
- Net Fixed Assets (Property and Equipment, net) at the end of 2019: $253 million

Using these values, the fixed asset turnover ratio is:
6,489 / 253 ≈ 25.65
Therefore, the fixed asset turnover ratio for Activision Blizzard for the fiscal year 2019 is approximately 25.65.

Error Type: Knowledge Lacking
Analysis: The model uses a wrong formula to calculate the financial metric. To calculate the Fixed Asset Turnover Ratio, the denominator should be the average value of net fixed assets in the past two years, instead of the value of a single year.